the world around us did not. Even as the security forces were battling the terrorists, and the police were engaged in arresting fear and panic from spreading, some of us, the senior management of the Reserve Bank and essential staff, were back in the office ensuring that we were in readiness to react and respond to both domestic and external developments. Brainstorming meetings on the eighteenth floor of the Reserve Bank central office in the Fort area of Mumbai, even as we could look out of the window and see the onion dome of the iconic Taj Mahal Palace hotel in Colaba belching out smoke, will forever remain etched in my memory as a reminder of that gloomy period.

We were anxious that there should be no contagion from the terrorist attack to the financial system. The payment and settlement system, which enables settlement of financial transactions, is the plumbing of the financial system. If it breaks down, it would cripple the financial sector, bring commercial activity to a standstill and sap public confidence. The potential for panic was frightening. A lot of experts, in fact, claim that during the early weeks of the global financial crisis when markets were seized with deep anxiety and fear, what prevented a total collapse was that even as everything around was breaking down, the global payment systems held up. Quite understandably, this was our top concern in the wake of the terrorist attack. That we were able to recommence the two large payment and settlement systems—the Real Time Gross Settlement (RTGS), National Electronic Funds Transfer (NEFT)—on 27 November, just a day after the attack, is a tribute to the commitment of the Reserve Bank staff and a testimonial to the robustness of our technological systems.

Chidambaram was on the phone several times asking when we could reopen the markets. He was particular that we must demonstrate to the world that India would not be cowed down by terrorists and that our financial markets were too resilient to be hit by anyone. I consulted Chandu Bhave, chairman of the Securities and Exchange Board of India (SEBI), which regulates the equity markets. We agreed that we must open our markets as soon as possible and do so simultaneously. By 28 November, within two days of the attack, we reopened government securities, foreign